HSC Economics — Australian Economy Data Sheet

Data current to 11 August 2026. Mapped to the NSW Stage 6 Economics Syllabus (2009) HSC Topics 1–4. Sources: ABS, RBA, Commonwealth Budget 2026–27, DFAT, UNDP, World Bank, NBS China.

TOPIC 3 · ECONOMIC GROWTH & PRODUCTIVITY

INDICATOR	LATEST	TREND / PRIOR
Real GDP growth (annual)	**2.5%**	Mar qtr 2026; steady
Real GDP growth (quarterly)	**0.3%**	slowed on Dec qtr
Nominal GDP	**~A$2.12tn**	12th largest economy
Share of world GDP	**~1.65%**	2026, IMF
Population	**~27.0m**	+0.97% y/y (2025)
Labour productivity growth	**~0.8% p.a.**	20-yr avg; index 100.2→99.6
HDI (rank)	**0.958 (10th)**	2025 HDR, 2023 data

Use it: 2.5% is on Australia's long-run trend and the *equal-fastest* pace in almost three years, but the growth is **low-quality**: driven by private investment (notably data centres), with public demand contributing nothing and net exports *detracting*. The RBA names "historically weak productivity growth" as the constraint on **potential growth** — the aggregate supply-side limit.

TOPIC 3 · UNEMPLOYMENT

INDICATOR	JUN 2026	YEAR EARLIER
Unemployment rate	**4.4%**	4.3% **▲0.1pt**
Underemployment rate	**6.5%**	5.9% **▲0.6pt**
Underutilisation rate	**10.9%**	▲0.3pt on May
Participation rate	**67.0%**	66.9% (near record)
Employment / population	**64.0%**	unchanged y/y
Persons employed	**14.82m**	+252,000 (+1.7%)
Persons unemployed	**686,800**	+30,200 (+4.6%)
Monthly hours worked	**2,014m**	+1.8% y/y

Use it: Underemployment is rising **6× faster** than unemployment (▲0.6pt vs ▲0.1pt y/y) — the labour market is loosening through **hours**, not job losses. Cite the gap between the 4.4% headline and 10.9% underutilisation to argue the headline understates slack. Employment still grew 252,000: **cyclical softening, not recession**. Types to name: cyclical (demand-deficient), structural, frictional, seasonal, hidden, long-term; NAIRU ≈ 4¼%.

TOPIC 3 · INFLATION & PRICE STABILITY

INDICATOR	LATEST	TREND
Headline CPI (annual)	**3.8%**	Jun 26; 4.0% May, 4.6% Mar
Trimmed mean (underlying)	**3.6%**	unchanged on May
Quarterly CPI movement	**0.6%**	trimmed mean 0.8%
RBA target band	**2–3%**	breached; midpoint late 2027

Use it: Both measures sit **above the 2–3% band**. Headline is falling (4.6→4.0→3.8%) but the trimmed mean is **sticky at 3.6%** — the pressure is broad-based, not just oil. Causes: **cost-push** (Strait of Hormuz closure lifting oil and related prices, passed through to other goods and services), **demand-pull** (capacity pressures), and the risk of an **inflationary psychology** / wage–price spiral, though short-term expectations have eased.

TOPIC 3 · INCOME DISTRIBUTION & WAGES

INDICATOR	LATEST	TREND
Wage Price Index (annual)	**3.3%**	Mar qtr 2026; steady
— private / public sector	**3.2% / 3.3%**	gap narrowing
Real wage growth	**≈ –1.3%**	WPI 3.3% vs CPI 4.6% (Mar)
Gini — disposable income	**0.307**	2022–23, from 0.323
Gini — household wealth	**0.606**	from 0.628 in 2018–19

Use it: Wealth is distributed **roughly twice as unequally** as disposable income (0.606 vs 0.307) — the single best statistic for a distribution question. Both Ginis have *fallen*, so avoid claiming inequality is simply worsening. But nominal wages (3.3%) are running **below** inflation, so **real living standards are going backwards** — a distributional cost of the current inflation episode. Note: ABS did not release the 2023–24 Survey of Income and Housing, so 2022–23 is the newest official Gini.

TOPIC 2 · BALANCE OF PAYMENTS & EXTERNAL STABILITY

INDICATOR (MAR QTR 2026)	VALUE	CHANGE
Current account balance	**–$27.1bn**	record deficit; –$4.1bn
Goods & services balance	**–$2.4bn**	from +$1.1bn surplus
Capital & financial account	**+$18.6bn**	–$1.9bn on Dec qtr
Net foreign debt	**$1,452.6bn**	–$23.0bn
Net international inv. position	**–$707.6bn**	from –$645.3bn

Use it: A **record** CAD, extending a long run of consecutive quarterly deficits. The driver is the goods and services balance flipping into deficit as the **Strait of Hormuz closure** raised the oil import bill — a textbook **terms of trade** shock transmitted through the BOP. Link to the **Pitchford thesis**: most of the $1.45tn net foreign debt is private borrowing to fund investment, so it may be self-correcting — but sustainability rests on the **debt-servicing ratio** and downgrade risk. CA + KFA must sum to zero.

TOPIC 1 · GLOBAL CONTEXT

- **Shock of the year:** the Middle East conflict and Strait of Hormuz closure — a global **supply-side** shock lifting oil prices, adding directly to inflation and flipping Australia's G&S balance into deficit.
- **Offsetting force:** AI-related investment is lifting activity in Australia's major trading partners and driving domestic private investment (data centres).
- **Globalisation indicators:** trade as a share of GDP, FDI and TNC flows, financial flows, labour migration, technology diffusion.
- **Development gap:** Australia HDI 0.958 (10th) vs China 0.797 (~77th). UNDP 2025: rich countries hit record human development while half the poorest went backwards.
- **Institutions:** IMF, World Bank, WTO, OECD, G20, UN; APEC, ASEAN, RCEP, CPTPP; ChAFTA.

TOPIC 2 · EXCHANGE RATES & TRADE

INDICATOR	LATEST	TREND
AUD/USD	**~US$0.70**	+4.4% in 2026
Trade Weighted Index (TWI)	**65.3**	7 Aug 2026; appreciating
Largest TWI weight	**RMB 28%**	USD 13% (2nd)
Two-way trade with China	**$326bn**	25% of total trade (2025)
Exports to China	**$196bn**	29% of total exports
Top 3 export markets	**CHN·JPN·KOR**	>50% of export earnings

Use it: The AUD floats freely (since Dec 1983); the RBA has not intervened. Appreciation here is driven by **tighter monetary policy** — three cash rate rises widening the interest differential and attracting capital inflow. An appreciating AUD is mildly **disinflationary** (cheaper imports) but erodes export competitiveness. Export composition remains **narrow and commodity-heavy** (iron ore, coal, LNG, gold; services = education, tourism) while imports are ETMs — the classic structural vulnerability.

TOPIC 4 · MACROECONOMIC POLICY

MONETARY POLICY (RBA)

INDICATOR	LATEST	TREND
Cash rate target	**4.35%**	held 11 Aug 2026, unanimous
Rate rises in 2026	**3**	tightening cycle
Stance	**Restrictive**	"somewhat restrictive"
Inflation back to midpoint	**late 2027**	upside risks flagged

Use it: Contractionary monetary policy via **domestic market operations** on the cash rate. Transmission visible in the data: consumer spending slowing, housing prices falling in some capitals, new housing loans down, AUD appreciating. The RBA is targeting **inflationary expectations** — "ensuring high inflation does not become embedded" — and retains a tightening bias. Dual mandate: price stability *and* full employment.

FISCAL POLICY (BUDGET 2026–27)

INDICATOR	VALUE	TREND
Underlying cash balance	**–$31.5bn**	1.0% of GDP
Net debt 2026–27	**$616.6bn**	19.9% of GDP
Net debt 2025–26	**$556bn**	18.8% of GDP
Net debt 2029–30 (proj.)	**$768bn**	21.9% of GDP

Use it: A deficit financed by bond issuance to the private sector, raising the possibility of **crowding out**. The stance is broadly **neutral** with a stable structural deficit — fiscal policy is *not* assisting the RBA's disinflation, hence public demand making no contribution to March-quarter growth. Distinguish the **cyclical** component (automatic stabilisers: progressive tax, transfers) from the **structural** (discretionary). Net debt near 20% of GDP is low internationally but rising.

MICROECONOMIC & LABOUR MARKET POLICY

- **Rationale:** ~0.8% p.a. productivity growth over 20 years is the binding constraint on potential growth and real income — the Economic Reform Roundtable agenda.
- **Slowdown is broad-based:** weak in the market sector excluding mining, weaker still in the non-market and mining sectors.
- **Tools:** competition and deregulation, tax reform, infrastructure and energy transition, skills/migration, digital and AI adoption.
- **Labour market:** enterprise bargaining, awards and the National Minimum Wage (Fair Work Commission); 3.3% wage growth is consistent with, not ahead of, the inflation target.

TOPIC 1 · CASE STUDY — CHINA

INDICATOR	LATEST	TREND / CONTEXT
GDP growth, Q2 2026 (y/y)	**4.3%**	slowest since end-2022
GDP growth, Q1 2026	**5.0%**	H1 2026: 4.7%
Official growth target	**4.5–5.0%**	Q2 below lower bound
GNI per capita (Atlas)	**US$13,660**	2024; from ~US$13,400
High-income threshold	**US$14,005**	China still upper-middle
HDI (rank)	**0.797 (~77th)**	vs Australia 0.958 (10th)
Lifted out of poverty	**~800m**	>70% of global total
Gini coefficient	**~0.465**	official; vs Aus 0.307
Urbanisation rate	**67%**	end-2024; ~18% in 1978
Australian exports to China	**$196bn**	29% of Aus exports

Strategy & outcomes: China is the syllabus's model of **globalisation-driven development** — reform and opening-up from 1978, special economic zones, export-oriented industrialisation, FDI liberalisation, WTO accession (2001) and rural-to-urban migration. It is the only country in UNDP history to move from *low* to *high* human development (a 64.7% HDI gain), with ~800m lifted from poverty — evidence that trade and investment integration raise **development**, not just income.

The evaluative counterweight (say this for top bands): growth has **not** been evenly distributed. A Gini near 0.465 is far above Australia's 0.307, reflecting a persistent **rural–urban divide** reinforced by the *hukou* system. China remains **upper-middle income** — GNI per capita of US$13,660 is roughly a quarter of Australia's and sits just under the US$14,005 high-income threshold — so it is caught near the **middle-income trap**.

Slowdown: 4.3% in Q2 2026 is the slowest since 2022 and below the official target, the miss driven by **slumping investment** — evidence the investment-led model is exhausting itself and must rebalance toward **household consumption**. Ageing demographics and high local-government debt compound this.

Link back to Australia: China takes 29% of Australia's exports and 25% of two-way trade ($326bn), and the RMB carries the largest single TWI weight (28%). Chinese demand transmits directly into Australia's **terms of trade, CAD, AUD and mining investment** — a Chinese slowdown is an Australian growth risk. Trading-partner growth has nonetheless been **stronger than expected**, with AI-related investment offsetting the drag from the Middle East conflict.

Exam technique. Give every stat with (i) the **figure**, (ii) the **period**, (iii) the **direction of change** — "the CAD widened $4.1bn to a record $27.1bn in the March quarter 2026". Markers reward **trends and turning points** over point estimates. Where two indicators conflict (headline vs trimmed mean; unemployment vs underutilisation; income vs wealth Gini), say so — that contrast *is* the analysis.

Sources ABS: National Accounts Mar qtr 2026 · CPI Jun 2026 · Labour Force Jun 2026 · Wage Price Index Mar qtr 2026 · Balance of Payments Mar qtr 2026 · Household Income & Wealth 2022–23. RBA: Monetary Policy Decision 11 Aug 2026 (MR 2026-19); SMP Aug 2026; TWI. Budget 2026–27 & PBO. DFAT China brief (2025). PC Bulletin Mar 2026. UNDP HDR 2025. World Bank GNI Atlas 2024. NBS China H1 2026. IMF WEO.